SECTOR BRIEF

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# German residential construction: activity, pipeline, financing and material costs

Germany · 2026-11-13

Prepared for **Rhein-Main Wohnbau GmbH (fictional)** · 2026-11-13 · Levente Frigyes
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FICTIONAL SAMPLE · ALL COMPANY DATA IN THIS DOCUMENT IS INVENTED FOR DEMONSTRATION

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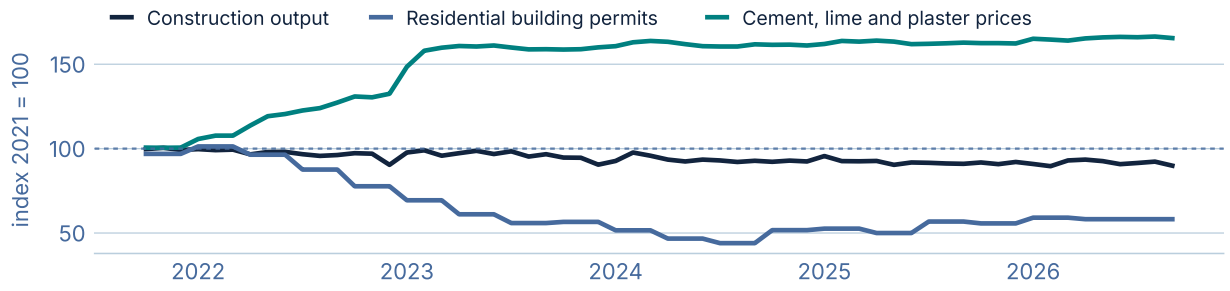
**EUR 2.9m**
INTEREST ON PROJECT LOANS, A YEAR
60m at 4.84% all-in

**EUR 0.60m**
EXTRA INTEREST PER 1 PP RISE
= 6.7% of EBITDA

**89.9**
CONSTRUCTION OUTPUT (2021 = 100)
−1.2% on a year · lower than 98% of the last 10 years

**58.2**
RESIDENTIAL BUILDING PERMITS (2021 = 100)
+16.4% on a year · lower than 72% of the last 10 years

**Output, permits and cement prices on one base** (index 2021 = 100)




Source: [S1] Eurostat, data to 2026-09-01; [S2] Eurostat, data to 2026-04-01; [S5] Eurostat, data to 2026-09-01 · full references at the end
Quarterly permits are held flat within each quarter.

**BOTTOM LINE**

Interest costs EUR 2.9m a year; EBITDA covers it 3.1x today and 2.2x after a 2 pp rate rise. Residential building permits, which come before construction work, are +16.4% on a year; construction output is −1.2%.

KEY POINTS

- **Activity is close to a ten-year low.** Construction output is 89.9 (2021 = 100), −1.2% on a year and lower than in 98% of the last ten years' months.
- **The pipeline is turning, slowly.** Residential permits are +16.4% on a year but still −12.1% against their five-year average. Permits come a year or more before construction work, so volumes stay low in the coming months.
- **Financing is the brake.** New mortgages cost 4.09% (+0.35 pp on a year) and the 10-year Bund yield, 3.47%, is the highest in ten years. Sales plans should test prices and sales pace at today's rates.
- **For the company, each 1 pp on its EUR 60m of floating project loans costs EUR 0.60m a year** (6.7% of EBITDA); interest runs at about EUR 2.9m a year today.
- **Material costs stay high:** cement, lime and plaster prices are 10.0% above their five-year average and +1.7% on a year, so margins depend on the price clauses in contracts.

## Where the indicators stand

| INDICATOR | UNIT | LATEST | PERIOD | ON THE YEAR | VS 5-YEAR AVG | 10-YEAR RANK | 3-MONTH TREND |
|---|---|---|---|---|---|---|---|
| Construction output | index 2021 = 100 | 89.9 | Sep 2026 | −1.2% | −4.8% | 2% | Flat |
| Residential building permits | index 2021 = 100 | 58.2 | Q2 2026 | +16.4% | −12.1% | 28% | Rising |
| New mortgage rate | % a year | 4.09 | Sep 2026 | +0.35 pp | +0.65 pp | 97% | Rising |
| 10-year Bund yield | % a year | 3.47 | Sep 2026 | +0.78 pp | +1.33 pp | 100% | Rising |
| Cement, lime and plaster prices | index 2021 = 100 | 165.5 | Sep 2026 | +1.7% | +10.0% | 97% | Flat |
| 3-month interbank rate | % a year | 2.64 | Sep 2026 | +0.61 pp | +0.42 pp | 80% | Rising |

Source: [S1] Eurostat, data to 2026-09-01; [S2] Eurostat, data to 2026-04-01; [S3] European Central Bank, data to 2026-09-01; [S4] FRED, data to 2026-09-01; [S5] Eurostat, data to 2026-09-01; [S6] FRED, data to 2026-09-01 · full references at the end

10-year rank: share of the last ten years' months at or below the latest value (near the maximum = the highest level in ten years). 3-month trend: the last three months against the three before (Flat within ±2%, or ±0.1 pp for rates). Annual figures are the IMF's.

### How rates and the exchange rate reach the result

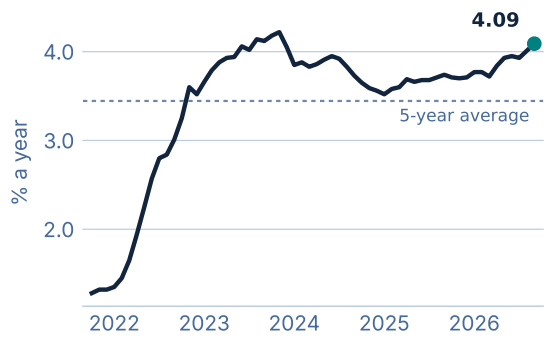
Floating-rate debt reprices with the reference rate, so each 1 pp move changes annual interest by EUR 0.60m (6.7% of EBITDA).

### How the indicators connect

Permits are the order book of the industry: they come a year or more before construction work. Mortgage rates decide how many buyers can finance a home, and the 10-year government yield sets the floor for those rates. Material prices decide the margin on work already contracted. Read the page-1 chart from left to right: costs rose first, permits fell next, and output follows permits with a delay.

# The indicators over five years

**New mortgage rate** (% a year)



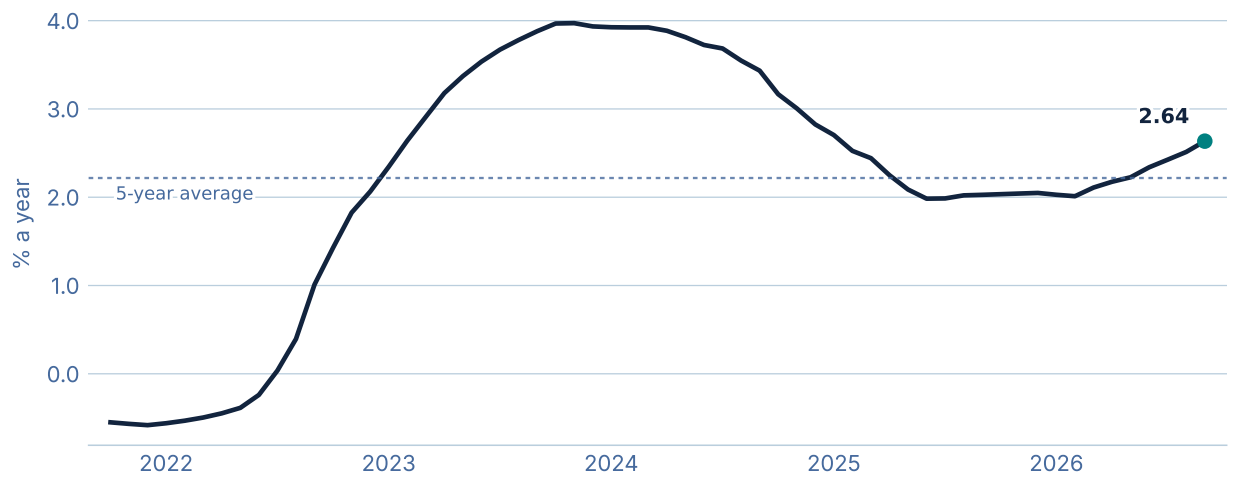

Source: [S3] European Central Bank, data to 2026-09-01 · full references at the end

**10-year Bund yield** (% a year)




Source: [S4] FRED, data to 2026-09-01 · full references at the end

**3-month interbank rate** (% a year)




Source: [S6] FRED, data to 2026-09-01 · full references at the end

# What it means for the company's result

The company has EUR 60m of floating-rate debt. The figures below are the arithmetic effect of rate and exchange-rate moves on the annual result; negative means worse.

**Sensitivity of the annual result**

| MOVE | RESULT, WORSE SIDE | RESULT, BETTER SIDE | WORSE SIDE, % OF EBITDA | HOW OFTEN IN 10 YEARS |
|---|---|---|---|---|
| Interest rate ±1 pp | −EUR 0.60m | +EUR 0.60m | −6.7% | 25% |

How often in 10 years: share of the last ten years' 12-month periods in which the indicator moved at least this much, in either direction. It shows how ordinary a move of this size is; it is not a probability for the next year.

**Debt and interest cover**

| MEASURE | TODAY | RATE +1 PP | RATE +2 PP |
|---|---|---|---|
| Floating-rate debt / EBITDA | 6.7x | – | – |
| Interest a year | EUR 2.90m | EUR 3.50m | EUR 4.10m |
| Interest cover (EBITDA / interest) | 3.1x | 2.6x | 2.2x |

Compare the cover with the minimum in the company's loan agreements; the covenant levels are not part of this brief.

## Drivers to watch

- Monthly permits and new orders from Destatis, the earliest signs of a recovery in volumes
- ECB policy and the 10-year Bund yield, which set mortgage and project-loan rates
- Government housing support and energy-efficiency rules for new buildings
- Labour availability and wage agreements in construction

## Decisions this brief supports

- Timing of new project starts and land purchases
- Sales price and sales pace assumptions in project appraisals
- Price-adjustment clauses in contracts with subcontractors and suppliers

**Construction output: why it matters and where it stands**

Output shows how much construction work is actually done each month. Today 89.9 (index 2021 = 100), against a five-year average of 94.5 and a five-year range of 89.6 to 100.5. 98% of the last ten years' months were higher. It typically moves 7% in a year.

**Residential building permits: why it matters and where it stands**

Permits are the order book of the industry and lead output by a year or more. Today 58.2 (index 2021 = 100), against a five-year average of 66.2 and a five-year range of 44.0 to 101.3. 72% of the last ten years' months were higher.

**New mortgage rate: why it matters and where it stands**

The mortgage rate decides how many households can finance a new home. Today 4.09%, against a five-year average of 3.44 and a five-year range of 1.28 to 4.22. Only 3% of the last ten years' months were higher.

**10-year Bund yield: why it matters and where it stands**

The 10-year Bund yield is the base for long-term mortgage and project-loan pricing. Today 3.47%, against a five-year average of 2.14 and a five-year range of (0.38) to 3.47. It is at its highest level in ten years.

**Cement, lime and plaster prices: why it matters and where it stands**

Cement, lime and plaster prices stand in for building-material costs. Today 165.5 (index 2021 = 100), against a five-year average of 150.5 and a five-year range of 100.5 to 166.4. Only 3% of the last ten years' months were higher. It typically moves 2% in a year.

# Sources

[S1] Eurostat · Germany: production in construction, volume index (2021 = 100, seasonally adjusted) (sts_copr_m?geo=DE&unit=I21&s_adj=SCA&indic_bt=PRD&nace_r2=F) · 2026-09-01 · https://ec.europa.eu/eurostat/api/dissemination/statistics/1.0/data/sts_copr_m?format=JSON&lang=EN&geo=DE&unit=I21&s_adj=SCA&indic_bt=PRD&nace_r2=F · accessed 2026-11-13 · series page: https://ec.europa.eu/eurostat/databrowser/view/sts_copr_m

[S2] Eurostat · Germany: building permits, residential useful floor area (2021 = 100, seasonally adjusted) (sts_cobp_q?geo=DE&unit=I21&s_adj=SCA&indic_bt=BPRM_SQM&cpa2_1=CPA_F41001) · 2026-04-01 · https://ec.europa.eu/eurostat/api/dissemination/statistics/1.0/data/sts_cobp_q?format=JSON&lang=EN&geo=DE&unit=I21&s_adj=SCA&indic_bt=BPRM_SQM&cpa2_1=CPA_F41001 · accessed 2026-11-13 · series page: https://ec.europa.eu/eurostat/databrowser/view/sts_cobp_q

[S3] European Central Bank, Data Portal (SDMX) · Germany: interest rate on new loans to households for house purchase (ECB MFI interest rate statistics) (MIR/M.DE.B.A2C.A.R.A.2250.EUR.N) · 2026-09-01 · https://data-api.ecb.europa.eu/service/data/MIR/M.DE.B.A2C.A.R.A.2250.EUR.N?format=csvdata · accessed 2026-11-13 · series page: https://data.ecb.europa.eu/data/datasets/MIR

[S4] FRED, Federal Reserve Bank of St. Louis · Germany: 10-year government bond yield (OECD) (IRLTLT01DEM156N) · 2026-09-01 · https://fred.stlouisfed.org/graph/fredgraph.csv?id=IRLTLT01DEM156N · accessed 2026-11-13 · series page: https://fred.stlouisfed.org/series/IRLTLT01DEM156N

[S5] Eurostat · Germany: producer prices, cement, lime and plaster (domestic market, 2021 = 100) (sts_inppd_m?geo=DE&unit=I21&s_adj=NSA&nace_r2=C235) · 2026-09-01 · https://ec.europa.eu/eurostat/api/dissemination/statistics/1.0/data/sts_inppd_m?format=JSON&lang=EN&geo=DE&unit=I21&s_adj=NSA&nace_r2=C235 · accessed 2026-11-13 · series page: https://ec.europa.eu/eurostat/databrowser/view/sts_inppd_m

[S6] FRED, Federal Reserve Bank of St. Louis · Germany: 3-month interbank rate (OECD) (IR3TIB01DEM156N) · 2026-09-01 · https://fred.stlouisfed.org/graph/fredgraph.csv?id=IR3TIB01DEM156N · accessed 2026-11-13 · series page: https://fred.stlouisfed.org/series/IR3TIB01DEM156N

# Method and definitions

**How to read this brief.** Every figure is public data (numbered sources above, with the date downloaded), arithmetic on the company's own inputs (marked as client input), or an official projection labelled as such. Statistics use monthly averages; rates change in percentage points (pp), prices in percent.

**Definitions.** 10-year rank: the share of the last ten years' months at or below today's level (near the maximum = a ten-year high). vs 5-year average: how far today's level is from the average of the last five years. 3-month trend: the last three months against the three before (Flat within ±2%, or ±0.1 pp for rates). Volatility: the typical yearly swing, from monthly changes over the last three years. How often in 10 years: the share of all 12-month periods in the last ten years in which the indicator moved at least this much; it describes the past, not a probability.

**About the data.** Monthly prices and rates are published with a delay of one to two months, so the latest month shown is the latest month available on the report date. Statistical offices revise recent figures; quarterly and annual series are shown as published. Exchange rates are ECB reference rates; commodity prices are IMF primary commodity prices; annual growth, inflation and unemployment figures and their projections are the IMF's, which updates them in April and October.

**Scope.** Rate and currency risk management is outside the scope of this brief; discuss it with the company's bank.

# Important information

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